

WEEKLY MACRO.MICRO.GEOPOL BRIEF

Sunday June 28, 2026 - Merton Ranger v2.0

Part 1: GLOBAL MACRO

Central Banks

Fed - New era under Kevin Warsh: Warsh took office as Fed Chair this week, making first hires. Market questioning his guidance while pricing a rate hike before year-end.

Kashkari (Minneapolis Fed) openly supports rate hike by end-2026 amid broad inflation - hawkish repricing hit bonds.

Bowman (Fed Governor) warns against a hike due to energy inflation spike - growing internal divergence.

ECB raised rates for the first time since 2023 (+25bp) - Iran war pushed Eurozone energy costs higher. Core inflation at 4.2% in May (3-year high).

Schnabel (ECB) sees upside inflation risks despite Iran peace deal - major concession from ECB rhetoric.

BoE held at 3.75% - cautious amid mixed UK outlook: growth -0.1% in Apr, inflation stable at 2.8%.

S&P maintains US sovereign rating at AA+ with stable outlook.

US Macro

Consumer spending resilient. GDP growth revised down but still positive (~1.8% consensus).

- CPI May at 4.2% YoY (3-year high), PPI at 1.1% MoM (vs 0.8% consensus) - driven by energy.
- JOLTS April at 7.618M (vs 7.28M expected), highest in nearly 2 years.
- Manufacturing job cuts neared financial crisis and Covid levels in June (S&P).
- Retail Sales June +0.9% MoM (vs 0.3% expected) - surprising resilience.

Europe & Asia

- ECB historic hike (+25bp) - admits upside inflation risks persist despite Iran ceasefire.
- Germany: auto industry in crisis (BMW/VW announce new wave of cutbacks).
- UK: growth -0.1% in Apr. Inflation stable 2.8%. Political uncertainty.
- China two-speed economy - government advisors call for fix. FXI -5.14% wow.
- Chinese startup exposes cracks in Beijing tech funding machine.

Commodities & Energy

- WTI Oil \$69.23 (partial recovery after Iran strikes). Brent \$72.60.
- Copper \$6.207 - expected to rise with AI demand.
- Silver \$59.674 - industrial use (solar, AI), positive momentum.
- Gold \$4,096.30 - 4th consecutive weekly decline. Barclays: sell-off was a reset.
- NatGas \$3.279 - volatile on European heatwave.

Dollar & FX

- DXY 101.37 - down 2nd day but up on week.
- EUR/USD 1.139 (+0.32% daily) - limited by geopolitical risk.
- USD/JPY 161.69 - correction after extreme highs.

Part 2: MICRO & MARKETS

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Earnings & Season

- FedEx surges on strong earnings. Darden beat but weak growth.
- JPMorgan: new co-presidents. Announces \$50B buyback.
- Goldman Sachs raises dividend after Fed stress test.

Sectors & Rotations

- NASDAQ: 5th consecutive Friday loss (-0.9% wow), chipmakers leading. NVDA -1.64%.
- Value vs Growth: rotation accelerating. Russell 2000 +1.02% vs SPY -2.38% = broadening.

Valuations & Sentiment

- Fear & Greed Index: 18 (Extreme Fear) - 3rd consecutive day below 20.
- VIX 18.41 - elevated for bull market but not panic. Drift-down pattern.
- Contradiction: extreme fear without VIX > 25 spike = steady erosion, not crash.

Credit & Bonds

- US 10Y: 4.372% higher. 30Y: 4.864%. Inversion persisting, slight normalization.
- HYG -0.22%, TLT +0.70% - long bonds attract safe haven flows.
- SpaceX bonds sell off post \$25B deal closing.

Part 3: GEOPOLITICS

Active Conflicts

- US-IRAN: 2nd day of strikes after tanker hit Hormuz. Trump says Iran violated ceasefire.
- Hormuz: mines block shipping for months. Waivers: 3 tankers exit blockade.
- UKRAINE-RUSSIA: glide bombs turning fortress city into rubble.
- VENEZUELA: earthquake death toll near 1,000. Rodriguez regime crisis.
- ISRAEL-LEBANON: framework deal to end conflict reached.

Trade & Sanctions

- Trump threatens 100% tariffs on countries with Digital Services Taxes.
- USMCA struggling. IMF warns tit-for-tat trade war threatens global economy.
- Apple seeks US approval to buy chips from blacklisted CXMT.
- Baltic states urge EU accelerate Russian oil ban.

Domestic Politics

- Trump confirms Gabbard replaced, Warsh Fed Chair.
- Leon Black subpoenaed by House panel over Epstein ties.
- Milei Argentina: cabinet chief resigns after jet scandal.
- Anthropic Mythos 5 AI model cleared for wider use.

Tail Risks

- H5 Avian flu in Australian wild birds.
- AI energy crisis: strategic bottleneck.

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- Latvia/Poland/Ukraine escalation risk.

Part 4: ECONOMIC CALENDAR - Week of June 29 to July 5, 2026

- Mon 29: Fed Barkin speech (HIGH); Chicago PMI June (60.0 vs 62.7); JOLTS (7.4M vs 7.618M)
- Tue 30: Retail Sales June (+0.3%, HIGH); CPI June (CRITICAL); PPI June (+0.8%); ISM Mfg (HIGH)
- Wed 1: US Independence Day (closed)
- Thu 2: EU PMI Manufacturing final (HIGH); ISM Services (HIGH)
- Fri 3: NFP June (CRITICAL); Unemployment Rate (CRITICAL)
- Off-calendar: Iran-US deal; Fed Warsh first press conference; ECB guidance

Part 5: THESIS & NON-OBVIOUS CONNECTIONS

Weekly Thesis: Structural Inflation Is Back

The consensus thinks Iran inflation is temporary and the Fed will pivot in 2026. The market underestimates three structural inflationary forces:

- 1. Energy as geopolitical weapon: Hormuz mines = months-long blockade. Oil at \$70 is the new floor.
- 2. AI as energy inflation shock: IMF warns AI adds to inflation risks.
- 3. Trade fragmentation: 100% tariffs, USMCA at risk, decoupling = supply shocks.

Non-Obvious Connections

- Gold down despite Iran war: traders treat as rate product, not safe haven.
- NASDAQ 5th loss + VIX 18 + Fear & Greed 18: historically precedes bearish acceleration.
- Russell +1.02% vs SPY -2.38%: broadening signals rotation to value/small caps.
- ECB hike + Iran deal = EUR bid: EUR/USD could test 1.16-1.18.

Part 6: TRADE IDEAS

- 1. LONG EUR/USD: Entry 1.1380 | Target 1.1600-1.1750 | Stop 1.1280 | 7/10
- 2. LONG OIL CALL SPREAD: Buy 75c/Sell 85c | Target WTI>75 | Invalid <65 | 6/10
- 3. SHORT NASDAQ PUT: 25000/24500 | Target 24000 | Invalid >25500 | 6/10
- 4. LONG GOLD: Entry 4080-4100 | Target 4250-4350 | Stop 4000 | 7/10
- 5. LONG RUSSELL/SHORT SPY: Ratio 0.0413 | Target 0.0435 | Stop 0.0395 | 5/10

Part 7: RISKS & VIGILANCE (HIGH 7/10)

Bullish Risks

- 1. Iran deal signed -> oil -10%, risk-on rally
- 2. Fed Warsh less hawkish
- 3. US spending resilient
- 4. China stimulus -> FXI +10%

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- 5. AI capex accelerates

Bearish Risks

- 1. Hormuz fully blocked -> oil 90+, stagflation
- 2. US-Iran war escalation -> VIX > 30
- 3. NFP disappoints -> recession fears
- 4. ECB hike mistake -> EUR fall
- 5. Tech earnings disaster
- 6. Venezuela crisis escalation

Part 8: INSIGHT OF THE WEEK

The Gold Paradox in Wartime

Gold is down despite a major war. Traders treat gold as a rate product, not a safe haven. This is historically abnormal.

In wartime, real rates fall (inflation > rate hikes) -> gold should rise. Gold is the only unsanctionable asset. Central banks bringing gold reserves home.

Asymmetry extreme: downside to 4000 limited, upside to 4500+ enormous.

Risk/reward is bullish. Either Iran escalates (gold to 4300) or deal happens (corrects to 3900 then rebounds).

Gold is the crowded short that will reverse. Nobody sees it coming because everyone focused on Fed repricing.

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Sources: Yahoo Finance, Bloomberg, FT, CNBC, Polymarket, Trading Economics, IMF, ECB, Fed, BoE